

US FEDERAL TRADE COMMISSION (FTC) ADVERTISING & MARKETING

FTC Act Unfair or Deceptive Acts or Practices

Title: Prohibition of Unfair or Deceptive Acts or Practices

Jurisdiction: International

Category: Advertising

Source Citation: Federal Trade Commission Act, §5; 15 U.S.C. §45(a)(1)

Plain English Summary:

Section 5 prohibits unfair or deceptive acts or practices in or affecting commerce. For an Ayurvedic startup, this means advertising and marketing claims must not mislead consumers, including through claims about a product's benefits, safety, effectiveness, or other characteristics. The FTC evaluates the overall message conveyed to consumers, including express and implied claims.

The Exact Legal Text:

15 U.S.C. §45(a)(1):

Unfair methods of competition in or affecting commerce, and unfair or deceptive acts or practices in or affecting commerce, are hereby declared unlawful.

Keywords/Triggers:

FTC Act Section 5, deceptive advertising, unfair practices, Ayurvedic advertising USA, misleading claims, FTC health claims, product advertising, 15 USC 45

FTC Act False Advertisements for Drugs, Devices, Foods, and Cosmetics

Title: False or Misleading Advertisements

Jurisdiction: International

Category: Advertising

Source Citation: Federal Trade Commission Act, §12; 15 U.S.C. §52

Plain English Summary:

Section 12 addresses false advertisements for foods, drugs, devices, and cosmetics. For an Ayurvedic product marketed in the U.S., advertising that makes false or misleading representations about the product can therefore create FTC liability, particularly where the product falls within one of these statutory categories.

The Exact Legal Text:

15 U.S.C. §52(a)(1):

It shall be unlawful for any person, partnership, or corporation to disseminate, or cause to be disseminated, any false advertisement

(A) By United States mail, or in or having an effect upon commerce by any means, for the purpose of inducing, or which is likely to induce, directly or indirectly the purchase of food, drugs, devices, services, or cosmetics; or

(B) By any means, for the purpose of inducing, or which is likely to induce, directly or indirectly, the purchase of food, drugs, devices, services, or cosmetics.

Keywords/Triggers:

FTC false advertising, cosmetic advertising USA, drug advertising, Ayurvedic product advertising, false advertisement, 15 USC 52, FTC cosmetics, misleading advertisement

FTC Act Definition of False Advertisement

Title: Definition of False Advertisement

Jurisdiction: International

Category: Advertising

Source Citation: Federal Trade Commission Act, §15; 15 U.S.C. §55(a)(1)

Plain English Summary:

The FTC Act defines a false advertisement as advertising that is misleading in a material respect. This is important when assessing Ayurvedic advertising because a claim can be problematic not only when it is literally false, but also when the overall presentation or omission of important information creates a materially misleading impression.

The Exact Legal Text:

15 U.S.C. §55(a)(1):

The term false advertisement means an advertisement, other than labeling, which is misleading in a material respect; and in determining whether any advertisement is misleading, there shall be taken into account (among other things) not only representations made or suggested by statement, word, design, device, sound, or any combination thereof, but also the extent to which the advertisement fails to reveal facts material in the light of such representations or material with respect to consequences which may result from the use of the commodity to which the advertisement relates under the conditions prescribed in said advertisement or under such conditions as are customary or usual.

Keywords/Triggers:

false advertisement definition, materially misleading, FTC advertising law, misleading omission, Ayurvedic marketing claims, product representation, 15 USC 55

FTC Health Products Guidance Truthful and Non-Misleading Claims

Title: Truthful and Non-Misleading Advertising of Health Products

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, Federal Trade Commission, 2022 interpreting Sections 5 and 12 of the FTC Act

Plain English Summary:

The FTC states that advertising for health-related products must be truthful and not misleading, and advertisers must have adequate substantiation for objective claims before disseminating an advertisement. This applies broadly to health-related products, so an Ayurvedic product making health or wellness claims should have appropriate scientific support before those claims are marketed.

The Exact Legal Text:

FTC Health Products Compliance Guidance Regulatory Framework:

Advertising must be truthful and not misleading;

Before disseminating an ad, advertisers must have adequate substantiation for all objective product claims conveyed, expressly or by implication, to consumers acting reasonably.

The FTC further states:

As a general rule, however, claims about the health benefits or safety of foods, dietary supplements, drugs, and other health-related products require substantiation in the form of competent and reliable scientific evidence.

Important: This document is FTC guidance, not an independent statute. The FTC expressly states that it interprets and explains FTC advertising law and does not itself have the force or effect of law.

Keywords/Triggers:

FTC health claims, scientific substantiation, Ayurvedic health claims, competent reliable scientific evidence, health product advertising, FTC guidance, evidence for claims, advertising compliance